SMARTSCHOOL

FIXED ASSETS
MANAGEMENT SYSTEM

COMPLETE USER GUIDE

With Detailed Examples & Calculations

IFRS Compliant

IAS 16 | IAS 36 | IAS 38 | IFRS 5

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Table of Contents

1. Introduction

This document provides a comprehensive guide to the Fixed Assets Management System, covering the complete lifecycle of fixed assets from acquisition to disposal. It includes detailed examples with calculations based on International Financial Reporting Standards (IFRS).

1.1 Purpose of This Document

This guide serves to:

- Provide step-by-step guidance for asset management
- Explain depreciation calculation methods with real examples
- Detail IFRS compliance requirements (IAS 16, IAS 36, IAS 38, IFRS 5)
- Serve as a reference for Finance and Asset Management teams

1.2 IFRS Standards Covered

Standard	Title	Coverage
IAS 16	Property, Plant & Equipment	Recognition, measurement, depreciation, revaluation
IAS 36	Impairment of Assets	Impairment testing, recoverable amount, reversals
IAS 38	Intangible Assets	Recognition, amortisation, impairment
IFRS 5	Non-current Assets Held for Sale	Classification, measurement, presentation

1.3 Target Audience

- Finance Managers and Accountants
- Asset Managers and Custodians
- Internal and External Auditors
- System Administrators

2. System Overview

The SmartSchool Fixed Assets Management System is a comprehensive IFRS-compliant solution for managing the complete lifecycle of fixed assets.

2.1 Core Modules

Module	Description
Asset Categories	Define categories with default depreciation methods, useful life, and GL accounts
Asset Registry	Master data for all assets with tracking, locations, and custodians
Opening Assets	Import opening balances for existing assets at go-live
Capitalization	Capitalize assets from purchase invoices or manual entry
Depreciation	Monthly depreciation with 4 methods and multiple conventions
Movements	Transfer assets between branches, departments, or custodians
Revaluation	IAS 16 compliant revaluation with OCI reserve tracking
Impairment	IAS 36 compliant impairment testing with DCF calculations
Disposal	Sale, scrap, write-off, donation with gain/loss posting
Held for Sale	IFRS 5 compliant HFS classification and measurement
Maintenance	Maintenance schedules, work orders, and cost tracking
Intangible Assets	Separate module for intangibles with amortisation
Tax Depreciation	Separate tax depreciation pools and calculations

2.2 Asset Lifecycle

The system manages assets through their complete lifecycle:

Stage	Activities
1. Acquisition	Purchase, capitalize, record in registry
2. In Service	Depreciate monthly, track location and custodian
3. Maintenance	Schedule and track maintenance activities
4. Revaluation	Periodic fair value adjustments (optional)
5. Impairment	Test for impairment when indicators exist
6. Transfer	Move between branches/departments as needed
7. Held for Sale	Classify when committed to sell
8. Disposal	Sell, scrap, write-off, or donate

2.3 System Flow Diagram

Acquisition → In Service → Depreciation → Disposal

3. Foundation Setup

Before managing assets, configure these foundational elements. This is typically a one-time setup with periodic updates.

3.1 Asset Categories

Asset categories define how assets are grouped and depreciated. Each category has default settings applied to new assets.

Example Asset Categories

Code	Category Name	Depr. Method	Useful Life	Salvage %	Threshold (TZS)
LND	Land	No Depreciation	N/A	N/A	0
BLD	Buildings	Straight Line	40 years	10%	10,000,000
VEH	Motor Vehicles	Declining Balance	5 years	15%	5,000,000
MCH	Machinery	Units of Production	10 years	10%	5,000,000
FRN	Furniture & Fittings	Straight Line	10 years	5%	500,000
CMP	Computer Equipment	Straight Line	4 years	0%	200,000
OFF	Office Equipment	Straight Line	5 years	5%	100,000

Category Settings Explained

Depreciation Method: The default calculation method for assets in this category

- **Straight Line** - Equal amounts over useful life
- **Declining Balance** - Accelerated depreciation based on book value
- **Sum of Years Digits** - Accelerated, decreasing amounts each year
- **Units of Production** - Based on actual usage/output

Useful Life: The expected period the asset will be used (in years or months)

Salvage Value: Estimated residual value at end of useful life (as % of cost or fixed amount)

Capitalization Threshold: Minimum cost to capitalize as an asset. Items below this amount are expensed immediately.

3.2 GL Account Mapping

Each asset category must be mapped to the appropriate GL accounts for accurate financial reporting.

Required GL Account Mappings

Account Type	Example Code	Purpose
Asset Account	1310 - Motor Vehicles	Asset cost balance
Accumulated Depreciation	1315 - Accum Depr - Vehicles	Contra asset account
Depreciation Expense	6200 - Depreciation Expense	P&L expense
Gain on Disposal	4500 - Gain on Asset Disposal	Income on sale > NBV
Loss on Disposal	6500 - Loss on Asset Disposal	Expense on sale < NBV
Revaluation Reserve (OCI)	3200 - Revaluation Surplus	Equity - OCI reserve
Revaluation Loss	6510 - Revaluation Loss	P&L loss on downward revaluation
Impairment Loss	6520 - Impairment Loss	P&L impairment expense
Impairment Reversal	4510 - Impairment Reversal	P&L reversal income
Accumulated Impairment	1316 - Accum Impairment	Contra asset account
HFS Account	1400 - Assets Held for Sale	IFRS 5 classification

Sample Chart of Accounts - Fixed Assets

Account	Description	Type	Normal Balance
1300	Property, Plant & Equipment	Asset	Debit
1310	Land	Asset	Debit
1320	Buildings	Asset	Debit
1321	Accumulated Depreciation - Buildings	Contra Asset	Credit
1330	Motor Vehicles	Asset	Debit
1331	Accumulated Depreciation - Vehicles	Contra Asset	Credit
1340	Furniture & Fittings	Asset	Debit
1341	Accumulated Depreciation - F&F	Contra Asset	Credit
1350	Computer Equipment	Asset	Debit
1351	Accumulated Depreciation - Computers	Contra Asset	Credit
1400	Assets Held for Sale	Asset	Debit
3200	Revaluation Surplus	Equity (OCI)	Credit

3.3 Depreciation Settings

Depreciation Conventions

Conventions determine how depreciation is calculated in the acquisition and disposal months.

Convention	Description
Monthly Pro-rata	Depreciation is prorated based on actual days in the month. Assets acquired mid-month receive proportional depreciation. Most accurate method.
Mid-Month	Assets acquired before the 15th receive full month depreciation. Assets acquired on or after the 15th receive half-month depreciation.
Full Month	Full month depreciation regardless of acquisition date. Simplest method but less accurate.
Half-Year	Half year depreciation in acquisition year, full in subsequent years. Common for tax purposes.

Global Settings

Setting	Description
Default Depreciation Method	Method used when category has none specified
Default Useful Life	Life used when category has none specified
Auto-run Depreciation	Enable monthly automatic depreciation processing
Depreciation Run Day	Day of month for automatic processing (e.g., 1st)
Require Approval	Depreciation journal requires approval before posting
Allow Back-dated Entries	Allow depreciation for prior periods

4. Asset Acquisition

4.1 Opening Assets

For existing assets at system go-live, enter opening balances to establish the asset register.

Required Information for Opening Assets

Field	Example
Asset Code	VEH-001
Asset Name	Toyota Land Cruiser Prado
Category	Motor Vehicles
Location/Branch	Head Office
Department	Administration
Custodian	John Mwamba
Purchase Date	01-January-2023
Capitalization Date	01-January-2023
Original Cost	TZS 120,000,000
Accumulated Depreciation (Opening)	TZS 24,000,000
Net Book Value (Opening)	TZS 96,000,000
Useful Life	60 months (5 years)
Remaining Useful Life	36 months
Salvage Value	TZS 18,000,000 (15%)
Serial Number	JTEBH3FJ5FK123456
Registration Number	T 123 ABC

Opening Balance Journal Entry

Account	Debit (TZS)	Credit (TZS)
Motor Vehicles (1330)	120,000,000	
Accumulated Depreciation - Vehicles (1331)		24,000,000
Opening Balance Equity		96,000,000
Total	**120,000,000**	**120,000,000**

4.2 Capitalization from Purchases

New assets can be capitalized from purchase invoices when the amount exceeds the capitalization threshold.

Capitalization Process

1. Create Purchase Invoice/GRN for the asset
2. System checks if amount exceeds category threshold
3. If yes, system prompts for capitalization
4. Enter asset details (serial number, location, custodian)
5. System creates asset record
6. System posts capitalization journal

> **Example: New Vehicle Purchase**
> Purchase Price: TZS 120,000,000 (VAT Exclusive)
> Category Threshold: TZS 5,000,000
> **Result:** Asset capitalized (exceeds threshold)

Capitalization Journal Entry

Account	Debit (TZS)	Credit (TZS)
Motor Vehicles (1330)	120,000,000	
VAT Input (if applicable)	21,600,000	
Accounts Payable		141,600,000

> ***Note:*** *Items below the capitalization threshold are expensed directly to the appropriate expense account.*

4.3 Asset Registry

The Asset Registry is the master record of all assets. It provides complete visibility into all asset information.

Information Tracked

Category	Information
Identification	Asset code, name, description, serial number, barcode
Classification	Category, sub-category, asset class
Location	Branch, building, floor, room
Custodian	Department, responsible person, employee ID
Financial	Cost, NBV, depreciation method, useful life
Status	Active, disposed, impaired, HFS, under maintenance
Warranty	Warranty start/end dates, provider, terms
Insurance	Policy number, provider, coverage, expiry
Documents	Purchase invoice, warranty card, photos

Asset Status Values

Status	Description
Active	Asset is in use and being depreciated normally
Inactive	Asset is not in use but not disposed
Under Maintenance	Asset is being repaired or serviced
Impaired	Asset has been impaired (continues to depreciate)
Held for Sale	Classified as HFS - depreciation stopped
Disposed	Asset has been sold, scrapped, or written off

5. Depreciation

Depreciation is the systematic allocation of the depreciable amount of an asset over its useful life (IAS 16).

5.1 Depreciation Methods Overview

The system supports four depreciation methods:

Method	Description	Best For
Straight-Line	Equal amounts over useful life	Buildings, furniture, general equipment
Declining Balance	Higher expense in early years	Vehicles, computers, technology
Sum-of-Years-Digits	Decreasing fractions each year	Assets losing value quickly initially
Units of Production	Based on actual usage	Machinery, vehicles by km

5.2 Straight-Line Method

The most common method. Depreciation is spread evenly over the useful life.

FORMULA

```
Depreciable Amount = Cost - Salvage Value
Annual Depreciation = Depreciable Amount ÷ Useful Life (years)
Monthly Depreciation = Annual Depreciation ÷ 12
```

Detailed Example: Straight-Line Depreciation

ASSET INFORMATION

Asset	Toyota Land Cruiser Prado
Category	Motor Vehicles
Purchase Date	01-January-2026
Original Cost	TZS 120,000,000
Salvage Value	TZS 18,000,000 (15%)
Useful Life	5 years (60 months)
Depreciation Method	Straight-Line

CALCULATION

Step 1: Calculate Depreciable Amount

`Depreciable Amount = Cost - Salvage Value`
`Depreciable Amount = 120,000,000 - 18,000,000 =` **`TZS 102,000,000`**

Step 2: Calculate Annual Depreciation

`Annual Depreciation = Depreciable Amount ÷ Useful Life`
`Annual Depreciation = 102,000,000 ÷ 5 =` **`TZS 20,400,000`**

Step 3: Calculate Monthly Depreciation

Monthly Depreciation = Annual Depreciation ÷ 12

Monthly Depreciation = 20,400,000 ÷ 12 = **TZS 1,700,000**

5-YEAR DEPRECIATION SCHEDULE

Year	Opening NBV (TZS)	Depreciation (TZS)	Accumulated (TZS)	Closing NBV (TZS)
2026	120,000,000	20,400,000	20,400,000	99,600,000
2027	99,600,000	20,400,000	40,800,000	79,200,000
2028	79,200,000	20,400,000	61,200,000	58,800,000
2029	58,800,000	20,400,000	81,600,000	38,400,000
2030	38,400,000	20,400,000	102,000,000	**18,000,000**

Note: Closing NBV equals Salvage Value at end of useful life

MONTHLY JOURNAL ENTRY

Account	Debit (TZS)	Credit (TZS)
Depreciation Expense (6200)	1,700,000	
Accumulated Depreciation - Vehicles (1331)		1,700,000

Narration: Being depreciation for Toyota Land Cruiser Prado (VEH-001) for January 2026

5.3 Declining Balance Method

Accelerated depreciation method. Higher expense in early years, lower in later years.

FORMULA

```
Annual Depreciation = Book Value × Depreciation Rate
Monthly Depreciation = Book Value × (Annual Rate ÷ 12)
```

Detailed Example: Declining Balance Depreciation

ASSET INFORMATION

Asset	Dell PowerEdge Server
Category	Computer Equipment
Purchase Date	01-January-2026
Original Cost	TZS 50,000,000
Depreciation Rate	25% per annum
Monthly Rate	2.083% (25% ÷ 12)

YEAR 1 MONTHLY DEPRECIATION SCHEDULE

Month	Opening NBV (TZS)	Rate	Depreciation (TZS)	Closing NBV (TZS)
January	50,000,000	2.083%	1,041,667	48,958,333
February	48,958,333	2.083%	1,019,965	47,938,368
March	47,938,368	2.083%	998,720	46,939,648
April	46,939,648	2.083%	977,926	45,961,722
May	45,961,722	2.083%	957,577	45,004,145

June	45,004,145	2.083%	937,670	44,066,475
July	44,066,475	2.083%	918,193	43,148,282
August	43,148,282	2.083%	899,131	42,249,151
September	42,249,151	2.083%	880,480	41,368,671
October	41,368,671	2.083%	862,234	40,506,437
November	40,506,437	2.083%	844,386	39,662,051
December	39,662,051	2.083%	826,297	38,835,754
Year 1 Total			**11,164,246**	

5-YEAR ANNUAL SUMMARY

Year	Opening NBV (TZS)	Depreciation (TZS)	Closing NBV (TZS)
2026	50,000,000	11,164,246	38,835,754
2027	38,835,754	8,670,013	30,165,741
2028	30,165,741	6,734,165	23,431,576
2029	23,431,576	5,232,089	18,199,487
2030	18,199,487	4,065,270	14,134,217

Note: *Declining balance never reaches zero. Common practice is to switch to straight-line when the book value approaches the salvage value, or retain a minimum book value.*

5.4 Sum-of-Years-Digits Method

Another accelerated method. Depreciation fraction decreases each year.

FORMULA

```
Sum of Years = n × (n + 1) ÷ 2 (where n = useful life in years)
Year Fraction = Remaining Years ÷ Sum of Years
Annual Depreciation = (Cost - Salvage) × Year Fraction
```

Detailed Example: SYD Depreciation

ASSET INFORMATION

Asset	Industrial Printer
Purchase Date	01-January-2026
Original Cost	TZS 25,000,000
Salvage Value	TZS 2,500,000 (10%)
Useful Life	5 years

CALCULATION

Step 1: Calculate Sum of Years

`Sum of Years = n × (n + 1) ÷ 2 = 5 × 6 ÷ 2 =` **15**

Step 2: Calculate Depreciable Amount

`Depreciable Amount = 25,000,000 - 2,500,000 =` **TZS 22,500,000**

5-YEAR DEPRECIATION SCHEDULE

Year	Remaining Years	Fraction	Percentage	Depreciation (TZS)	NBV (TZS)

2026	5	5/15	33.33%	7,500,000	17,500,000
2027	4	4/15	26.67%	6,000,000	11,500,000
2028	3	3/15	20.00%	4,500,000	7,000,000
2029	2	2/15	13.33%	3,000,000	4,000,000
2030	1	1/15	6.67%	1,500,000	**2,500,000**
Total			**100%**	**22,500,000**	

5.5 Units of Production Method

Depreciation based on actual usage. Best for assets where wear is directly related to output.

FORMULA

```
Depreciation per Unit = (Cost - Salvage) ÷ Total Estimated Units
Period Depreciation = Depreciation per Unit × Units Produced
```

Detailed Example: Units of Production

ASSET INFORMATION

Asset	Production Machine
Purchase Date	01-January-2026
Original Cost	TZS 80,000,000
Salvage Value	TZS 8,000,000
Estimated Total Units	1,000,000 units

CALCULATION

```
Depreciable Amount = 80,000,000 - 8,000,000 = TZS 72,000,000
Depreciation per Unit = 72,000,000 ÷ 1,000,000 = TZS 72 per unit
```

DEPRECIATION BASED ON ACTUAL PRODUCTION

Year	Units Produced	Rate/Unit	Depreciation (TZS)	Accum Depr (TZS)	NBV (TZS)
2026	200,000	TZS 72	14,400,000	14,400,000	65,600,000
2027	250,000	TZS 72	18,000,000	32,400,000	47,600,000

2028	220,000	TZS 72	15,840,000	48,240,000	31,760,000
2029	180,000	TZS 72	12,960,000	61,200,000	18,800,000
2030	150,000	TZS 72	10,800,000	72,000,000	**8,000,000**
Total	**1,000,000**		**72,000,000**		

5.6 Monthly Depreciation Processing

Depreciation is processed monthly. Follow these steps:

Pre-Processing Checklist

✓	Task	Description
☐	New Assets	All new assets have been capitalized
☐	Disposals	Disposed assets have been removed
☐	HFS Assets	HFS assets have depreciation stopped
☐	Revaluations	Revalued assets have updated useful life
☐	Prior Period	Prior month depreciation has been posted

Processing Steps

1. Navigate to: **Fixed Assets** → **Depreciation** → **Run Depreciation**
2. Select the depreciation period (month/year)
3. Select assets or categories to depreciate (or all)
4. Preview the depreciation calculations
5. Review for any anomalies
6. Post depreciation to create journal entries
7. Verify journal entries posted correctly

Sample Monthly Depreciation Summary

Category	Asset Count	Total Cost (TZS)	Depreciation (TZS)
Buildings	5	2,500,000,000	5,208,333
Motor Vehicles	12	840,000,000	14,000,000
Computer Equipment	85	425,000,000	8,854,167
Furniture & Fittings	150	300,000,000	2,500,000
Total	**252**	**4,065,000,000**	**30,562,500**

6. Asset Movements

Asset movements track transfers of assets between locations, departments, or custodians.

6.1 Types of Movements

Movement Type	Description	Requires Approval
Inter-Branch Transfer	Transfer between different branches/locations	Yes
Department Transfer	Transfer between departments in same branch	Yes
Custodian Change	Change of responsible person	Optional
Location Update	Change of physical location (room, floor)	No

6.2 Inter-Branch Transfer Example

Asset	VEH-001 - Toyota Land Cruiser Prado
From Branch	Head Office
To Branch	Dar es Salaam Branch
Transfer Date	15-March-2026
Reason	Operational requirement
Authorized By	Operations Manager
Current NBV	TZS 96,000,000

Movement Journal Entry (If separate books per branch)

Account	Debit (TZS)	Credit (TZS)
Motor Vehicles - DSM Branch	120,000,000	
Accum Depr - DSM Branch		24,000,000

Motor Vehicles - Head Office		120,000,000
Accum Depr - Head Office	24,000,000	

7. Revaluation (IAS 16)

Under IAS 16, entities can choose the Revaluation Model for measuring PPE after initial recognition. Assets are carried at fair value less subsequent depreciation and impairment.

7.1 Revaluation Model Principles

- Revaluations must be made with sufficient regularity
- All assets in a class must be revalued together
- Fair value is typically determined by professional valuation
- Depreciation restarts from new carrying amount and revised useful life

Accounting Treatment

UPWARD REVALUATION (INCREASE)

1. First: Reverse any prior revaluation losses in P&L
2. Then: Reverse any prior impairment losses in P&L
3. Finally: Remaining surplus goes to OCI (Revaluation Reserve)

DOWNWARD REVALUATION (DECREASE)

1. First: Reduce any prior revaluation surplus in OCI
2. Then: Remaining loss goes to P&L (Revaluation Loss)

7.2 Example: Upward Revaluation (First Time)

BEFORE REVALUATION

Asset	Office Building
Original Cost	TZS 500,000,000
Accumulated Depreciation	TZS 100,000,000
Carrying Amount	TZS 400,000,000

VALUATION

Fair Value (Professional Valuation)	TZS 550,000,000
Valuer	ABC Valuers Ltd
Valuation Date	31-December-2026

CALCULATION

```
Revaluation Surplus = Fair Value - Carrying Amount
Revaluation Surplus = 550,000,000 - 400,000,000 = TZS 150,000,000
```

JOURNAL ENTRY

Account	Debit (TZS)	Credit (TZS)
Buildings (1320)	150,000,000	
Revaluation Reserve - OCI (3200)		150,000,000

AFTER REVALUATION

New Carrying Amount	TZS 550,000,000
Revaluation Reserve	TZS 150,000,000

Future depreciation will be based on the new carrying amount and revised useful life.

7.3 Example: Downward Revaluation (With Prior Surplus)

BEFORE REVALUATION (YEAR 5)

Asset	Same Office Building
Carrying Amount	TZS 480,000,000
Existing Revaluation Reserve	TZS 120,000,000

NEW VALUATION

Fair Value	TZS 380,000,000

CALCULATION

```
Revaluation Decrease = Carrying Amount - Fair Value
Revaluation Decrease = 480,000,000 - 380,000,000 = TZS 100,000,000

Existing Reserve = TZS 120,000,000
Since Decrease (100M) < Reserve (120M):
```
→ **Entire decrease charged to OCI (Revaluation Reserve)**

JOURNAL ENTRY

Account	Debit (TZS)	Credit (TZS)
Revaluation Reserve - OCI (3200)	100,000,000	
Buildings (1320)		100,000,000

Remaining Revaluation Reserve: 120,000,000 - 100,000,000 = TZS 20,000,000

8. Impairment (IAS 36)

IAS 36 requires testing for impairment when there are indicators that an asset may be impaired. An impairment loss is recognized when the carrying amount exceeds the recoverable amount.

8.1 Key Concepts

Term	Definition
Carrying Amount	Cost less accumulated depreciation less accumulated impairment
Recoverable Amount	Higher of Fair Value Less Costs to Sell and Value in Use
Fair Value Less Costs to Sell	Market price less direct costs of disposal
Value in Use	Present value of future cash flows from the asset
Impairment Loss	Amount by which Carrying Amount exceeds Recoverable Amount

8.2 Impairment Indicators

EXTERNAL INDICATORS

- Significant decline in market value
- Adverse changes in technology, market, economy, or legal environment
- Increase in market interest rates

INTERNAL INDICATORS

- Physical damage or obsolescence
- Asset is idle or held for disposal
- Economic performance is worse than expected

8.3 Value in Use Calculation (DCF)

```
Value in Use = Σ [Cash Flow(n) ÷ (1 + r)^n]
```

Where: r = discount rate, n = year

Example: DCF Calculation

Year	Projected Cash Flow (TZS)	Discount Factor (10%)	Present Value (TZS)
1	15,000,000	0.909	13,635,000
2	14,000,000	0.826	11,564,000
3	12,000,000	0.751	9,012,000
4	10,000,000	0.683	6,830,000
5	8,000,000	0.621	4,968,000
Value in Use			**46,009,000**

8.4 Impairment Example

Asset	Factory Equipment
Original Cost	TZS 100,000,000
Accumulated Depreciation	TZS 40,000,000
Carrying Amount	TZS 60,000,000

IMPAIRMENT TEST

Fair Value Less Costs to Sell	TZS 42,000,000

Value in Use (DCF)	TZS 45,000,000

CALCULATION

```
Recoverable Amount = MAX(Fair Value Less Costs, Value in Use)
Recoverable Amount = MAX(42,000,000, 45,000,000) = TZS 45,000,000

Carrying Amount = TZS 60,000,000

Since Carrying Amount > Recoverable Amount:
```

Impairment Loss = 60,000,000 - 45,000,000 = TZS 15,000,000

JOURNAL ENTRY

Account	Debit (TZS)	Credit (TZS)
Impairment Loss (6520)	15,000,000	
Accumulated Impairment (1316)		15,000,000

AFTER IMPAIRMENT

New Carrying Amount	TZS 45,000,000

Future depreciation will be based on the new carrying amount over the remaining useful life.

9. Disposal

9.1 Disposal Types

Type	Description	Proceeds
Sale	Sold to customer/third party	Cash or receivable
Scrap	Scrapped at end of life	Scrap value (if any)
Write-off	Fully written off	None
Donation	Donated to charity/organization	None (may have tax benefit)
Loss/Theft	Lost or stolen	Insurance recovery (if any)

9.2 Gain/Loss Calculation

```
NBV = Cost - Accumulated Depreciation - Accumulated Impairment

Gain/Loss = Net Proceeds - NBV
```

If Net Proceeds > NBV → **GAIN** (Credit to P&L)

If Net Proceeds < NBV → **LOSS** (Debit to P&L)

9.3 Example: Asset Sale with Gain

Asset	Motor Vehicle (VEH-001)
Original Cost	TZS 120,000,000
Accumulated Depreciation	TZS 81,600,000
NBV	TZS 38,400,000
Sale Price	TZS 50,000,000 (VAT Inclusive 18%)

CALCULATION

```
NBV = 120,000,000 - 81,600,000 = TZS 38,400,000
Sale Price (VAT Inclusive) = TZS 50,000,000
VAT (18%) = 50,000,000 ÷ 1.18 × 0.18 = TZS 7,627,119
Net Proceeds = 50,000,000 - 7,627,119 = TZS 42,372,881
```

GAIN = 42,372,881 - 38,400,000 = TZS 3,972,881

JOURNAL ENTRY

Account	Debit (TZS)	Credit (TZS)
Cash/Receivable	50,000,000	
Accumulated Depreciation - Vehicles (1331)	81,600,000	
Motor Vehicles (1330)		120,000,000
VAT Output (Liability)		7,627,119
Gain on Asset Disposal (4500)		3,972,881
Total	**131,600,000**	**131,600,000**

9.4 Example: Asset Sale with Loss

Asset	Computer Server
Original Cost	TZS 50,000,000
Accumulated Depreciation	TZS 30,000,000
NBV	TZS 20,000,000
Sale Price	TZS 12,000,000 (VAT Exclusive)

CALCULATION

```
NBV = 50,000,000 - 30,000,000 = TZS 20,000,000
Net Proceeds = TZS 12,000,000
```

LOSS = 20,000,000 - 12,000,000 = TZS 8,000,000

JOURNAL ENTRY

Account	Debit (TZS)	Credit (TZS)
Cash/Receivable	12,000,000	
Accumulated Depreciation - Computers (1351)	30,000,000	
Loss on Asset Disposal (6500)	8,000,000	
Computer Equipment (1350)		50,000,000
Total	**50,000,000**	**50,000,000**

10. Held for Sale (IFRS 5)

IFRS 5 establishes accounting for non-current assets held for sale. Assets classified as HFS are presented separately and measured at the lower of carrying amount and fair value less costs to sell.

10.1 Classification Criteria

An asset is classified as held for sale when **ALL** of the following are met:

1. Asset is available for immediate sale in its present condition
2. Management is committed to a plan to sell
3. Active program to locate a buyer has started
4. Sale is highly probable (within 12 months)
5. Asset is being marketed at a reasonable price
6. Plan is unlikely to be significantly changed or withdrawn

10.2 Measurement

HFS assets are measured at the **LOWER** of:

- Carrying Amount, or
- Fair Value Less Costs to Sell

IMPORTANT: Depreciation STOPS when an asset is classified as Held for Sale

10.3 HFS Process Flow

Step	Activity
1	Identify asset for sale → Create HFS Request
2	Verify classification criteria → Management approval
3	Obtain fair value (valuation) → Record HFS Valuation
4	Reclassify asset → Journal: Dr HFS Account, Cr PPE Account
5	Stop depreciation → System automatically stops

6	Monitor 12-month period → Track sale progress
7	Complete sale OR reclassify back to PPE

10.4 HFS Example

Asset	Delivery Van
Carrying Amount	TZS 25,000,000
Fair Value Less Costs to Sell	TZS 28,000,000

Since Fair Value (28M) > Carrying Amount (25M): **No impairment required**

Asset reclassified at Carrying Amount: TZS 25,000,000

RECLASSIFICATION JOURNAL

Account	Debit (TZS)	Credit (TZS)
Assets Held for Sale (1400)	25,000,000	
Motor Vehicles (1330)		25,000,000

10.5 HFS with Impairment Example

Asset	Old Truck
Carrying Amount	TZS 30,000,000
Fair Value Less Costs to Sell	TZS 22,000,000

Since Fair Value (22M) < Carrying Amount (30M): **Impairment of TZS 8,000,000**

JOURNAL

Account	Debit (TZS)	Credit (TZS)
Assets Held for Sale (1400)	22,000,000	

Impairment Loss - HFS	8,000,000	
Motor Vehicles (1330)		30,000,000

11. Maintenance Management

The maintenance module tracks all maintenance activities for assets, including preventive maintenance, repairs, and work orders.

11.1 Maintenance Types

Type	Description	Example
Preventive	Scheduled maintenance to prevent failures	Vehicle service every 5,000 km
Corrective	Repairs after a breakdown or malfunction	Replacing broken parts
Predictive	Maintenance based on condition monitoring	Oil analysis, vibration monitoring
Emergency	Urgent repairs for safety or operations	Critical equipment failure

11.2 Work Order Process

1. Maintenance Request created (by user or scheduled)
2. Request reviewed and Work Order created
3. Work Order assigned to technician/vendor
4. Work performed and documented
5. Costs recorded (labor, parts, external services)
6. Work Order closed

11.3 Maintenance Cost Treatment

Cost Type	Treatment	Journal Entry
Routine Maintenance	Expense immediately	Dr Repairs & Maintenance Expense
Major Overhaul	Capitalize if extends useful life	Dr Asset Account
Replacement Parts	Expense (or capitalize if significant)	Dr Repairs Expense or Asset

12. Intangible Assets (IAS 38)

Intangible assets are identifiable non-monetary assets without physical substance. The system provides a separate module for managing intangible assets.

12.1 Types of Intangible Assets

Category	Examples	Amortisation
Software	ERP systems, custom applications	3-5 years
Licenses	Operating licenses, franchises	License term
Patents	Product patents, technology	Patent life
Trademarks	Brand names, logos	Indefinite*
Goodwill	Business acquisitions	No amortisation*
Development Costs	R&D (when criteria met)	Project life

** Assets with indefinite useful life are not amortised but tested for impairment annually*

12.2 Amortisation vs Depreciation

- Amortisation is used for intangible assets
- Same calculation methods as depreciation (straight-line is most common)
- Assets with indefinite useful life are not amortised but tested for impairment annually

13. Tax Depreciation

Tax depreciation may differ from accounting (book) depreciation. The system maintains separate calculations for tax purposes.

13.1 Book vs Tax Depreciation

Aspect	Book Depreciation	Tax Depreciation
Basis	IFRS/IAS standards	Tax laws and regulations
Methods	Various (SL, DB, SYD, Units)	Often prescribed by tax authority
Rates	Based on useful life	Statutory rates by asset class
Revaluation	Allowed under IAS 16	Often not allowed
Purpose	True and fair presentation	Tax liability calculation

13.2 Tanzania Tax Depreciation Rates

Asset Class	Rate	Method
Buildings	5%	Straight Line
Motor Vehicles	25%	Reducing Balance
Plant & Machinery	12.5%	Reducing Balance
Computer Equipment	37.5%	Reducing Balance
Furniture & Fittings	12.5%	Reducing Balance
Intangible Assets	Varies	As per license/useful life

13.3 Deferred Tax

Differences between book and tax depreciation create temporary differences, resulting in Deferred Tax Assets or Liabilities. The system calculates and tracks these differences automatically.

14. Reports

14.1 Asset Reports

Report	Description
Asset Register	Complete list of all assets with details
Asset by Category	Assets grouped by category with totals
Asset by Location	Assets grouped by branch/location
Asset by Custodian	Assets grouped by responsible person/department
Depreciation Schedule	Depreciation details for all assets
NBV Report	Current net book values
Fully Depreciated Assets	Assets with zero NBV
Movement History	Transfer history for assets

14.2 Accounting Reports

Report	Description
Depreciation Journal	Monthly depreciation entries for posting
Disposal Report	Disposed assets with gain/loss details
Revaluation Report	Revaluation history and reserve balances
Impairment Report	Impairment losses and reversals
HFS Report	Assets held for sale status
Tax vs Book Reconciliation	Differences between tax and book values

Appendix: Reference Tables

A.1 Straight-Line Depreciation Rates

Useful Life	Annual Rate	Monthly Rate	Example Asset
3 years	33.33%	2.78%	Computers
4 years	25.00%	2.08%	Vehicles
5 years	20.00%	1.67%	Office Equipment
10 years	10.00%	0.83%	Furniture
20 years	5.00%	0.42%	Buildings
40 years	2.50%	0.21%	Large Buildings

A.2 Declining Balance - NBV Reduction Table (25% Rate)

Year	% of Original Cost Remaining	Cumulative Depreciation %
1	75.0%	25.0%
2	56.3%	43.7%
3	42.2%	57.8%
4	31.6%	68.4%
5	23.7%	76.3%
10	5.6%	94.4%

A.3 Sum-of-Years-Digits Fractions

Useful Life	Sum of Years	Year 1 Fraction	Year 2 Fraction	Last Year Fraction
3 years	6	3/6 = 50%	2/6 = 33%	1/6 = 17%
4 years	10	4/10 = 40%	3/10 = 30%	1/10 = 10%

5 years	15	5/15 = 33%	4/15 = 27%	1/15 = 7%
10 years	55	10/55 = 18%	9/55 = 16%	1/55 = 2%

END OF DOCUMENT

SmartSchool Fixed Assets Management System

Complete User Guide

IFRS Compliant: IAS 16 | IAS 36 | IAS 38 | IFRS 5

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